EDMOND DE ROTHSCHILD

DEFENSIVE EXPOSURE TO OIL COMPANIES

STRUCTURED INVESTMENTS ADVISORY

NOVEMBER 21TH, 2018

EDMOND DE ROTHSCHILD, L'AUDACE DE BÂTIR L'AVENIR.

DEFENSIVE EXPOSURE TO OIL COMPANIES

Yield Enhancement Product

Stock Selection

- **Royal Dutch Shell:**

Royal Dutch Petroleum is a holding company with 60% control of Shell/Royal Dutch Group. The group operates in over 140 countries and is involved in every stage of oil production (exploration, drilling, refining and distribution). It is also a distributor of natural gas, electric power and petrochemicals.

Since the acquisition of BG Group, Royal Dutch has completed its major strategic change with a focus on gas (it is now the world's leader of liquefied natural gas). The Anglo-Dutch Company has now achieved the first phase of its post-acquisition financial objectives: made many transfers, quickly delivered the promised synergies and reduced its debts. Finally, cash generation made it possible to launch a share buyback in addition to the payment of a cash dividend.

The group has now entered the second phase of its strategy to achieve its 2020 target of $25-30 billion in organic free cash flow.

- **Total:**

Total is the world's fourth-largest oil company and Europe's leading refiner. 24% of revenue is earned upstream from exploration and hydrocarbon production, 59% downstream from European operations that include about 20,000 service stations and 17% from chemicals (petrochemicals, large and intermediate polymers, performance polymers and specialty chemicals.

Total' share price was severely penalized by delays on the main megaprojects (all strong cash contributors), a strong scepticism on several medium acquisitions rather complex to analyse as well as to a higher exposure than its peers to erratic refining margins. The significant counter-cycle investments made over the past 5 years are now reflected in strong production growth with high margins as resource acquisitions have been made at attractive terms.

Total is strategically trying to protect itself against a decline in oil consumption with a diversification into alternative energies.

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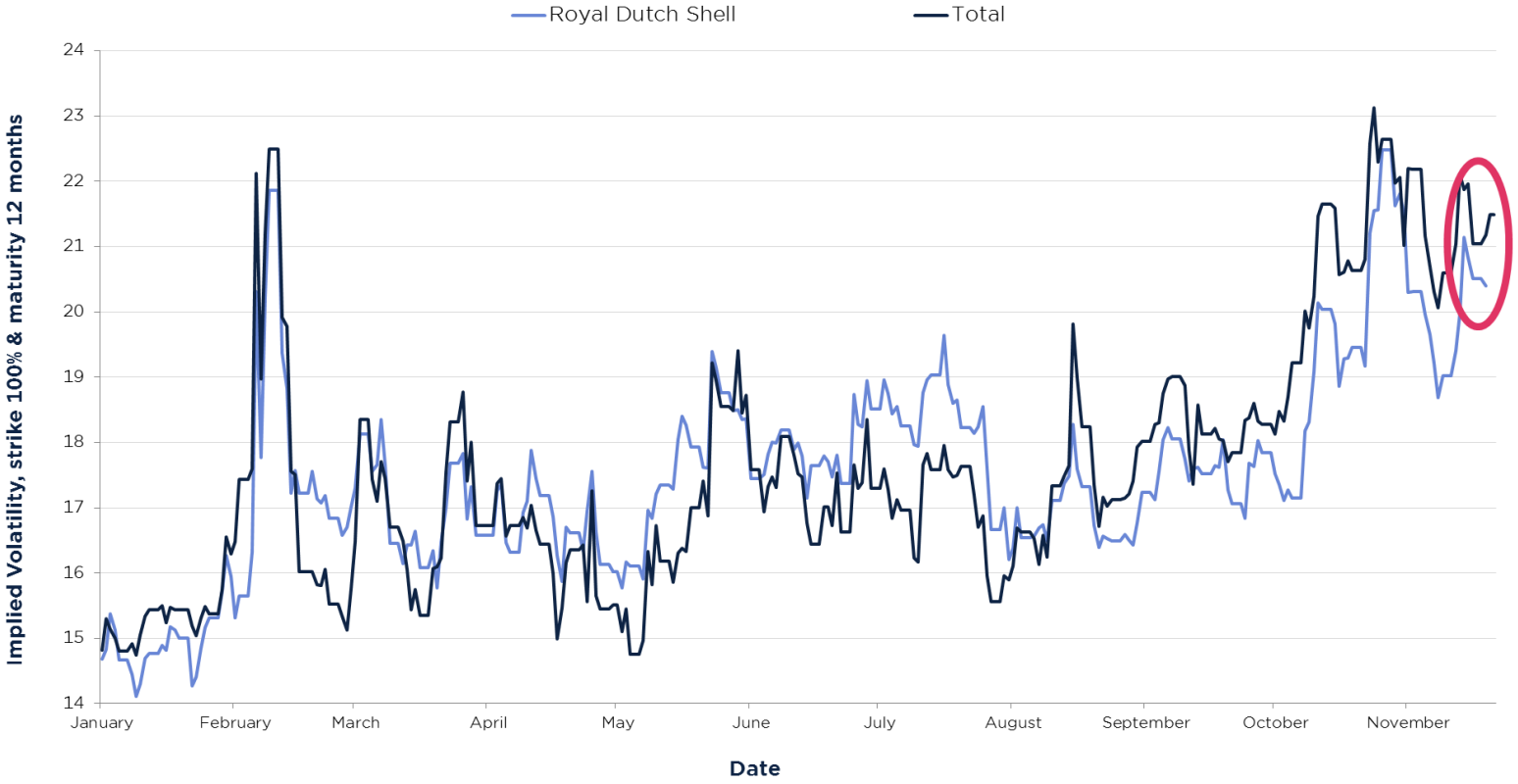
Recent increase in volatility

The recent increase of the implied volatility of these 2 stocks enables us to offer a defensive structure ("Low Strike") with an attractive potential return.



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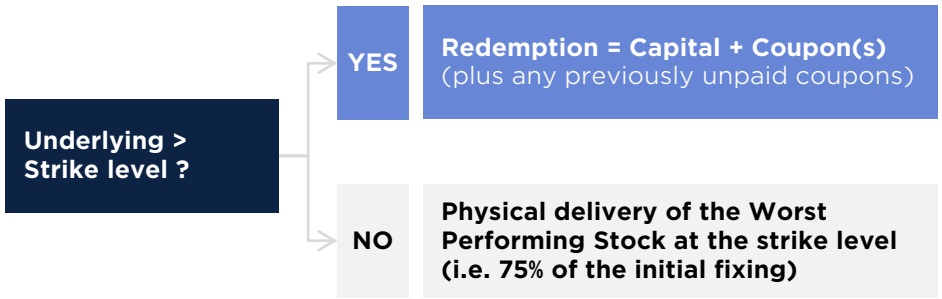
Product's features

- **Maturity :** 18 months
- **Currency :** USD/EUR/CHF (quanto -No FX Risk)
- **Underlying :** Worst Performing Stock among:
  - Total (FP FP)
  - Royal Dutch Shell (RDSA NA)
- **Observation frequency :** Quarterly
- **Strike level :** 75% of the initial level
- **Automatic early redemption level :** 100% of the initial level
- **Conditional coupon level with memory effect** paid quarterly if the Underlying is at or above 75% of the initial level (indicative as of 06.11.18) **:**
  - USD : 1.85% per quarter (i.e. 7.40% p.a.)
  - EUR : 1.00% per quarter (i.e. 4.00% p.a.)
  - CHF : 0.90% per quarter (i.e. 3.60% p.a.)
- **Protection level :** Redemption at 100% at maturity if the Underlying is at or above 75% of the initial level

Illustration of product mechanism

At each observation date (every quarter):

At maturity: After 18 months (assuming no prior early redemption)



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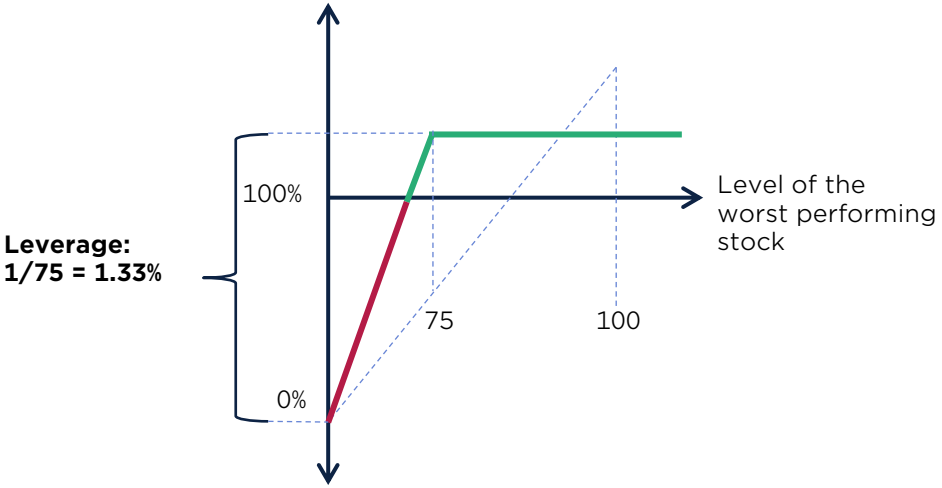
Redemption scenario at maturity

Strike 75%

Worst Performing Stock's performance at maturity	-30%	-26%	-25%	-10%	0%	15%	50%
Redemption of product (excluded coupon payments)	93.33%	98.67%	100.00%	100.00%	100.00%	100.00%	100.00%

Illustration of payoff at maturity



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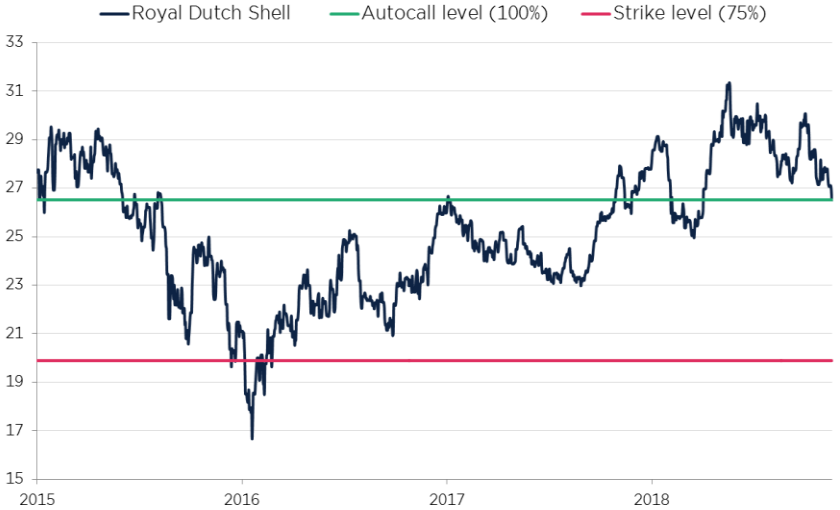
Historical chart of Total and Royal Dutch Shell along with indicative strike and autocall levels



Subscriptions until November 28th, 2018 – 4PM

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